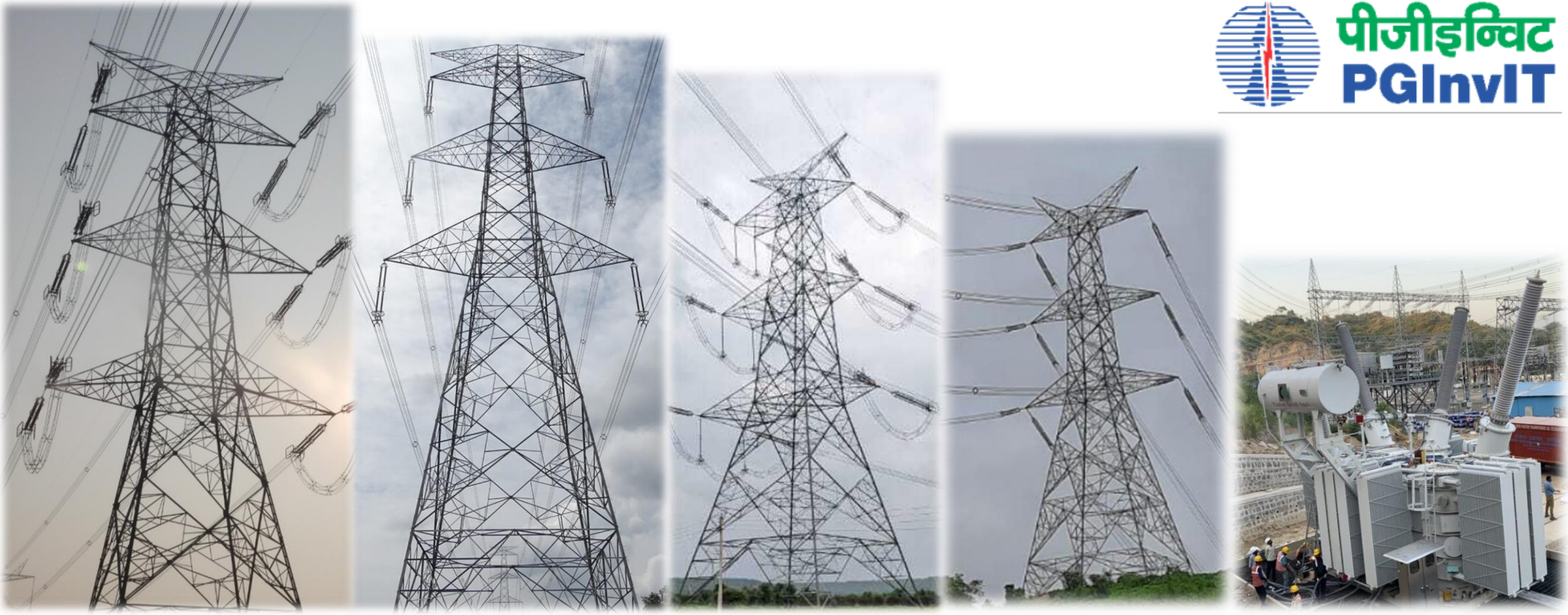
POWERGRID Infrastructure Investment Trust



Investor Presentation Q2 & H1FY2024

November 20, 2023

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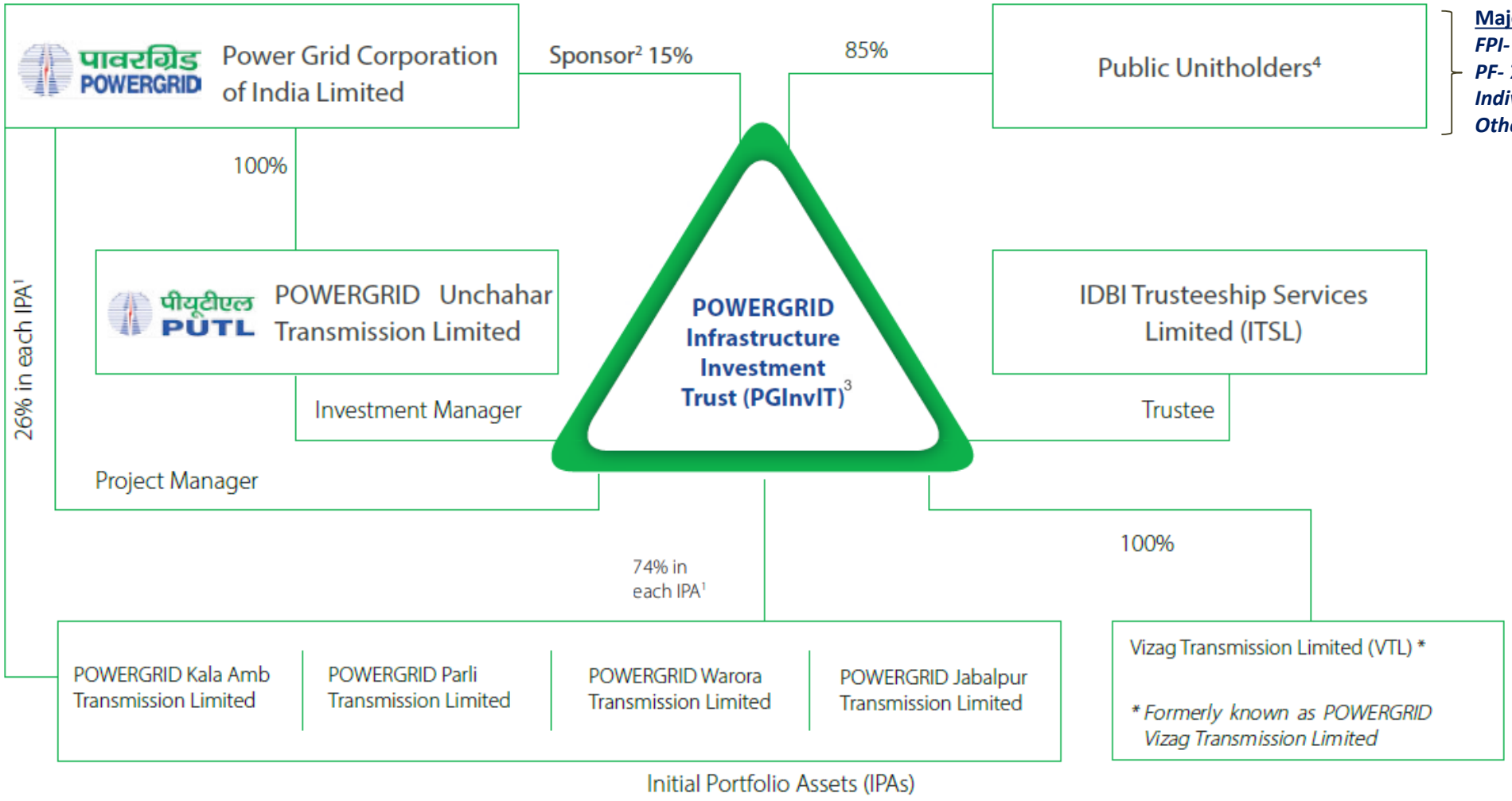
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Presentation Outline

PGInvIT Overview	Trust Structure
	PGInvIT at a glance
PGInvIT Performance	Operational
	Financial
Distribution	
Business Outlook	
Glossary	

PGInvIT Structure

(as on September 30, 2023)



Notes:
1. Balance 26% stake eligible for acquisition, after expiry of the lock-in conditions under the TSA. i.e. PKATL(Jul'22); PPTL(Jun'23), PWTL(Jul'23) and PJTL(Jan'24)

2. Holds 136.5 mn units
3. Total 910.0 mn units
4. Hold 773.5 mn units

FPI-Foreign Portfolio Investor; IC- Insurance Cos.; PF- Pension Fund/ Provident Fund; MF- Mutual Funds

PGInvIT at a glance

India's 1st InvIT sponsored by a CPSE…. confidence of marquee investors….

….powered by AAA – Assets….Assurance….Advantage

Sponsor & Project Manager- POWERGRID ***a Maharatna CPSE; one of the largest transmission utilities, globally***	***5 Operational and Revenue Generating ISTS TBCB SPVs***	***Perpetual ownership with 35-year contract period***	***Availability-based Tariff***	***Billing and Collection through CTUIL***
11 Tr. lines; 3,699ckm **3 substations;** **6,630 MVA**	**>98%** **Availability since DOCO**	**29+ yrs** **Avg. TSA Residual Life** *(as on Mar-23)*	**Strong governance framework**	***Listed on NSE & BSE*** *part of Nifty REITs & InvITs Index*
₹ 85.90 billion ***Enterprise Value*** *(as on Sept. 30, 2023)*	***1.22%*** ***Net Debt/ AUM*** *(as on Sept. 30, 2023)*	***AAA*** ***Credit Ratings***	***₹ 28.50 per Unit**** ***DPU since listing*** *(* Incl. Rs.3.00 declared on Nov 8, 2023)*	***₹ 12 per Unit*** ***DPU guidance for FY24***

Experienced Investment Manager | ***World Class Project Manager*** | ***Vibrant & Growing Power Sector*** | ***Debt funded acquisition strategy***

PGInvIT- Initial Portfolio Assets

Description	VTL	PKATL	PPTL	PWTL	PJTL
Location	Andhra Pradesh and Telangana	Himachal Pradesh	Maharashtra	Madhya Pradesh and Maharashtra	Madhya Pradesh
No. of lines & substations	2 lines	1 line; 1 S/S	3 lines; 1 S/S	4 lines; 1 S/S	1 line
Line length (ckm)	956.84	2.47	966.12	1,028.11	745.05
Transformation capacity (MVA)	-	630	3,000	3,000	-
Comml. Operation Date	Feb 2017	Jul 2017	Jun 2018	Jul 2018	Jan 2019
% shareholding acquired by PGInvIT	74%- IPO 26%- Mar22	74%- IPO	74%- IPO	74%- IPO	74%- IPO
Lock-in expiry (for Bal. 26%)	**January 2022**	**July 2022**	**June 2023**	**July 2023**	**Jan 2024**
Residual Life of TSA (years)	28.33	28.78	29.68	29.78	30.25

5 *TBCB projects*

11 tr. lines
3,698.59 ckm

3 *Sub-stations*
6,630 MVA

1,955.66 km
Optical ground wire

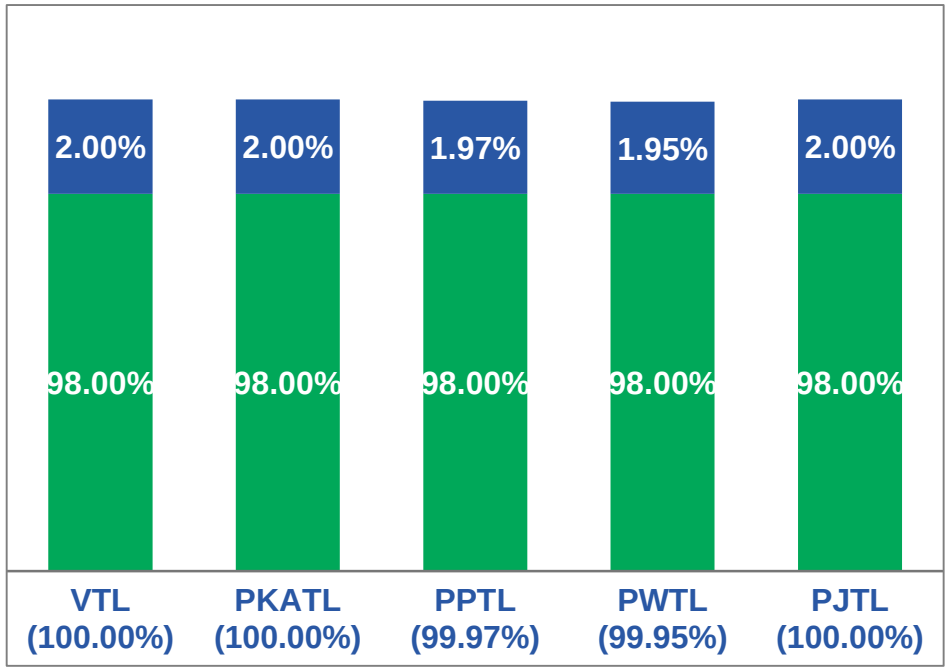
29+ years
Avg. residual life

Operational Performance – H1FY24

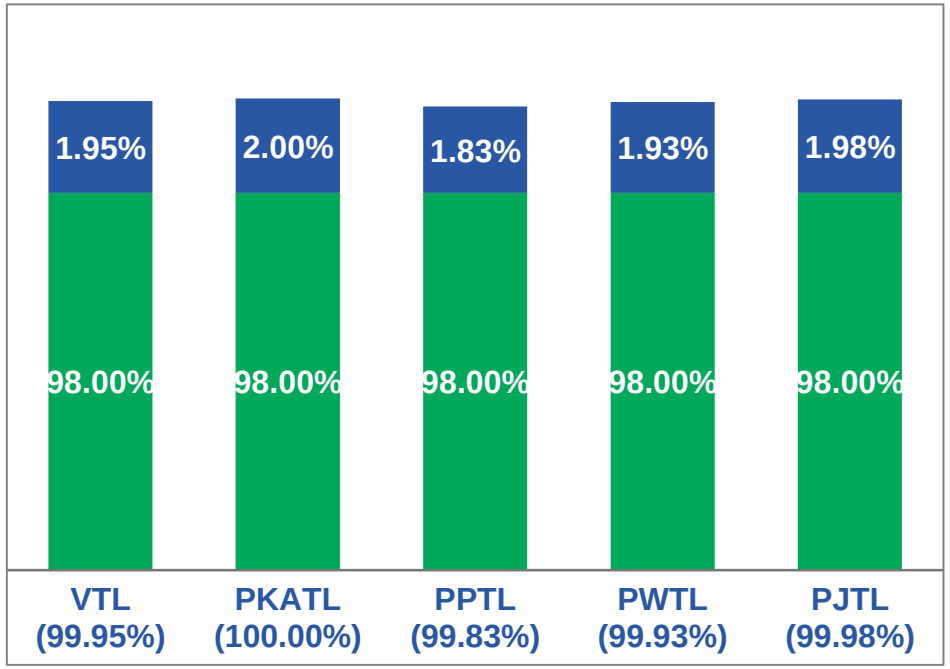
Consistently achieving High Availability of Assets ……
……with POWERGRID as Project Manager to PGInvIT

- Routine and Preventive Maintenance
- In-house maintenance
- OEM Support
- Safety Drills and Trainings for Teams
- Aerial Patrolling through drones

Avg. Availability* - Q2FY24



Avg. Availability* - H1FY24



** Provisional. Under Approval by RPC*

Efficient & Accident-Free Operations

Average Availability since DOCO >98%

Financial Performance – Q2FY24

Financials providing consistent, stable, visible returns for unitholders

Financials (Consolidated)

Total Income

- ₹ 3,256.27 Mn

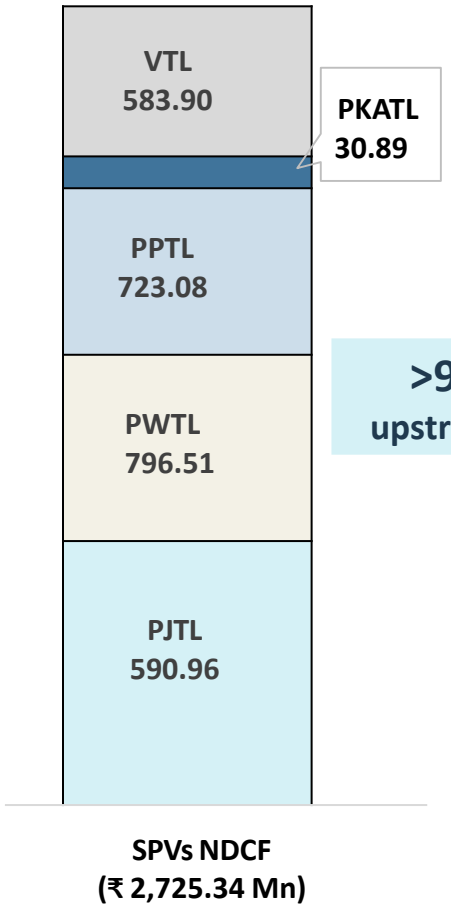
Operating Expenses

- ₹ 204.47 Mn

Total Debt
₹ 5,713 Mn

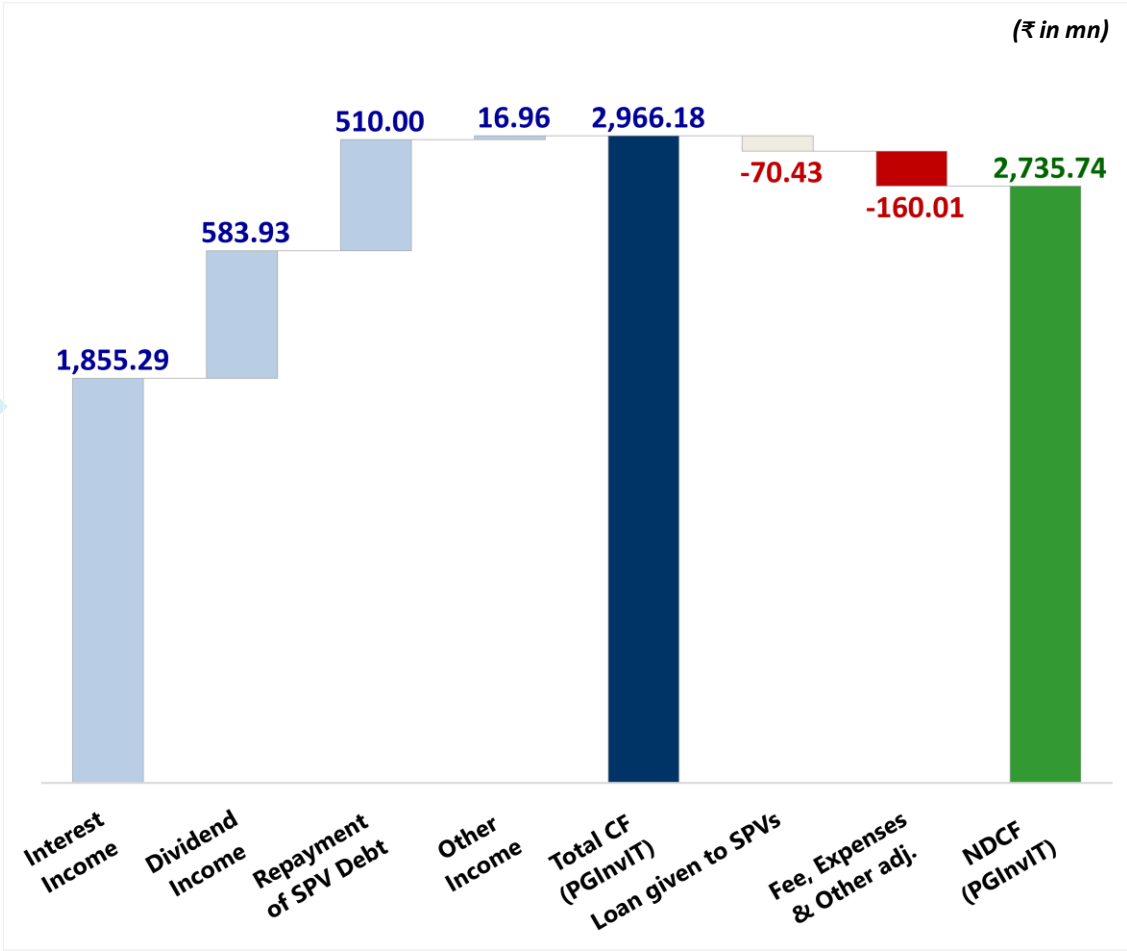
Receivable Days
56

NDCF at SPVs



>90% upstreamed

NDCF at PGInvIT (Q2FY24)



Financial Performance – H1FY24

Financials providing consistent, stable, visible returns for unitholders

Financials (Consolidated)

Total Income

- ₹ 6,466.93 Mn

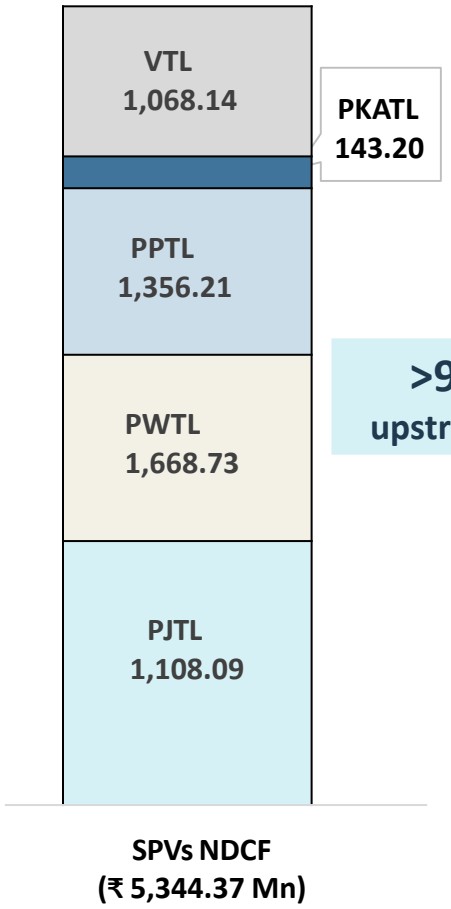
Operating Expenses

- ₹ 492.22 Mn

Total Debt
₹ 5,713 Mn

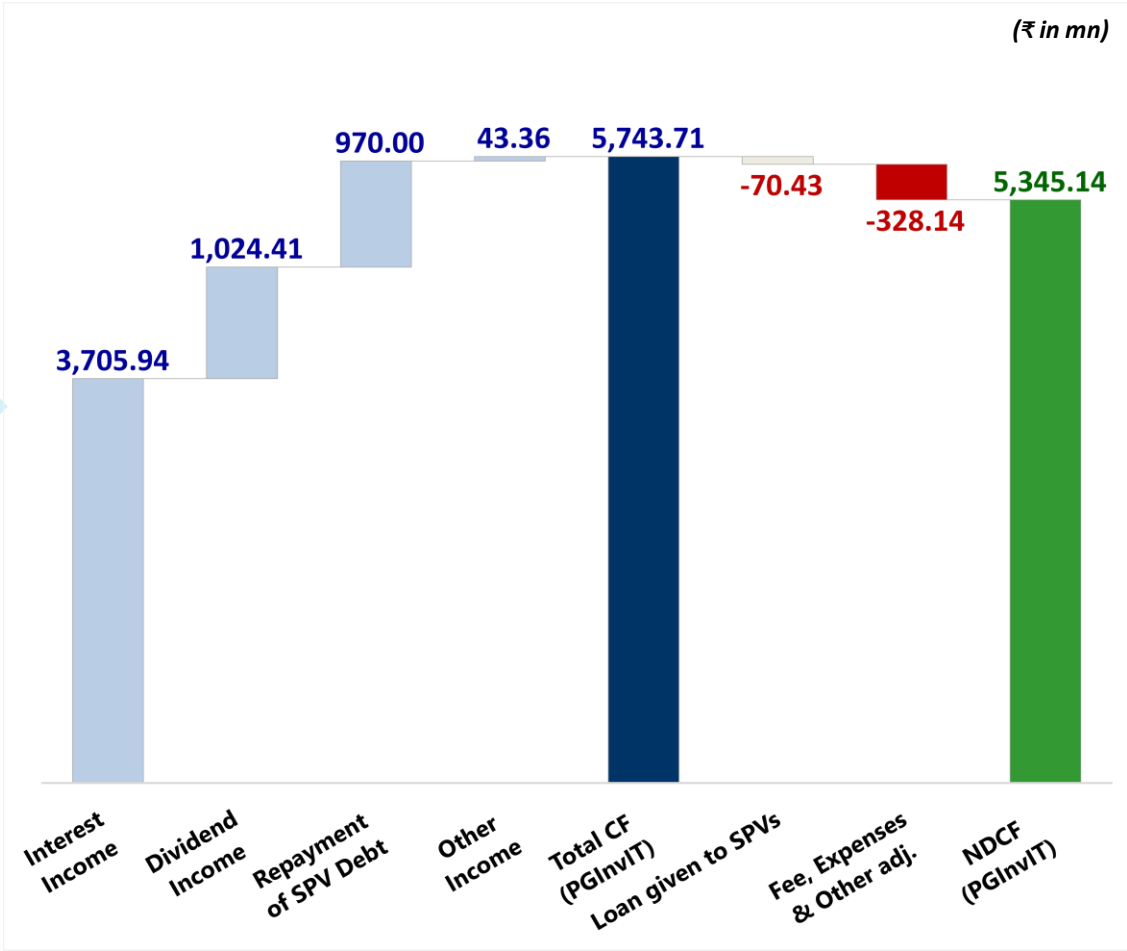
Receivable Days
56

NDCF at SPVs



>90% upstreamed

NDCF at PGInvIT (HY1FY24)



Debt Profile

External Debt

Bank Loan (Drawn in Mar-22)	Rate of Interest	Tenor	Loan Outstanding (as on Sept 30, 2023)
~Rs.5,756 mn	Linked to 3-month T-bill; Reset on quarterly basis	16 years	~Rs.5,713 mn

More than 80% Debt repayment post 10 years

Net Debt/ AUM: 1.22%
(as on September 30, 2023)

Distribution

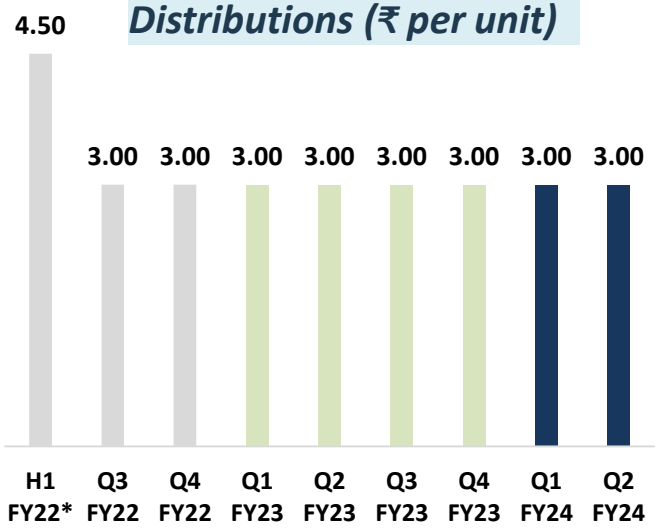
Distribution declared for Q2FY24

₹ 3.00 per unit

- ₹ 1.97 - Interest
- ₹ 0.34 - Dividend (Taxable)
- ₹ 0.21 - Dividend (Exempt)
- ₹ 0.47 - Repayment of SPV Debt
- ₹ 0.01 - Treasury Income (Exempt)

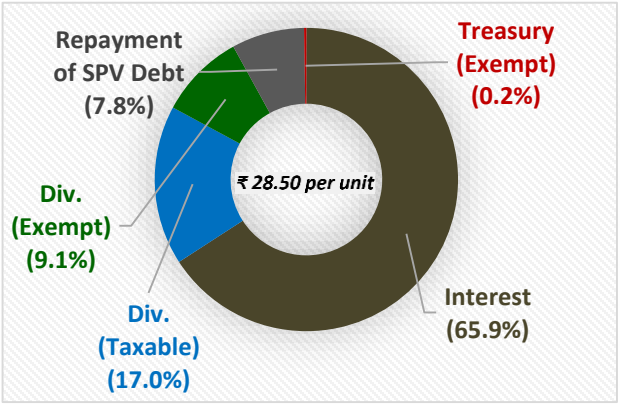
Record Date for Distribution – November 14, 2023

Distributions (₹ per unit)



*(*period May 13, 2021 to Sept.30, 2023)*

Total Distribution since IPO ₹ 28.50 per unit #



(# incl. Rs.3.00 declared on November 8, 2023)

Distribution Guidance for FY2023-24: ₹ 12 per unit

PGInvIT Distribution Policy

- InvIT Assets to distribute not less than 90% of each of their NDCF to the Trust
- Trust to distribute at least 90% of the Distributable Income to the Unitholders
- Distribution to be declared and made not less than once every quarter

Business Outlook

Balance 26% equity stake in four SPVs from Sponsor	Completion of 5 years from Commercial Operation Date (PKATL-Jul'22; PPTL- Jun'23; PWTL-Jul'23; PJTL-Jan '24)	Acquisition envisaged during the year Targeted through Debt
	Right with PGInvIT to acquire balance stake, in line with TSA conditions and will be a consultative process	Valuation by independent Valuer Policy on Related Party Transactions Corporate Governance Framework of PGInvIT
Upcoming Acquisition Opportunities	Asset sale by power transmission developers GoI's recommendations to States for monetisation GoI's National Monetization Pipeline	Targeted majorly through Debt Suitability Test- Operational history & Compliances with InvIT Regulations; Statutory requirements; Value accretive

Factors driving India's Power Sector

- Rising demand
- Focus on Energy Transition
- Cross-border linkages

Enablers for PGInvIT's Debt-funded Acquisition Strategy

- *Transmission Sector witnessing sustained investments*
- *Significant headroom for Debt funding for acquisitions*
- *Confidence of Lenders*
- *Highest Credit Rating 'AAA' by CARE, CRISIL & ICRA*

Glossary

Term	Description
AUM	Assets Under Management
ckm	circuit kilometres
CPSE	Central Public Sector Enterprise
CTUIL	Central Transmission Utility of India Ltd
DOCO	Date of Commercial Operation
Q2FY24/Q2FY2024	Quarter ended September 30, 2023
H1FY24/H1FY2024	Half Year ended September 30, 2023
IM	Investment Manager
InvIT	Infrastructure Investment Trust
IPA	Initial Portfolio Assets (used interchangeably with SPV)
IPO	Initial Public Offer
ISTS	Inter-State Transmission System
MVA	Mega Volt Ampere
NDCF	Net Distributable Cash Flows
OEM	Original Equipment Manufacturer
PJTL	POWERGRID Jabalpur Transmission Limited
PKATL	POWERGRID Kala Amb Transmission Limited
POWERGRID	Power Grid Corporation of India Limited
PPTL	POWERGRID Parli Transmission Limited
VTL	Vizag Transmission Limited (formerly POWERGRID Vizag Transmission Limited, “PVTL”)
PWTL	POWERGRID Warora Transmission Limited
RPC	Regional Power Committee
SPV	Special Purpose Vehicle (used interchangeably with IPA)
TBCB	Tariff Based Competitive Bidding
TSA	Transmission Service Agreement

Thank you